

INTERNAL AUDIT REPORT

Financial Transaction Audit | Report No. AR-02348

Report ID:	AR-02348
Audit Type:	Financial Transaction Audit
Report Date:	July 03, 2024
Audit Period:	2023-08-10 to 2024-06-26
Lead Auditor:	Kayla Gomez (EMP-CORP-00440)
Reviewed By:	Scott Davis (EMP-28408)
Primary Vendor Reference:	XpressCore Dynamics International (VND-03758)
Subject Employee Reference:	Jodi Wilson (EMP-43895)
Primary Transaction Reference:	TXN-EXT-003274
Overall Risk Rating:	MEDIUM

1. EXECUTIVE SUMMARY

This financial transaction audit covered the period 2023-08-10 to 2024-06-26 and examined transactions, approvals, and compliance records associated with vendor XpressCore Dynamics International (VND-03758) and employee Jodi Wilson (EMP-43895). The audit identified 2 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **MEDIUM**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-EXT-003274 (amount 7,379.95 EUR) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-001218	MEDIUM	MISSING RECEIPT	Expense claim EXP-120812 submitted for Equipment without an attached supporting receipt.
FND-004821	HIGH	MISSING RECEIPT	Reimbursement of \$291,218 for Equipment was approved despite no receipt documentation in the system.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-005317	AUDIT REPORT	EVD-PJW-1125	0.56
EVI-006428	DNS LOG	EVD-LPY-3969	0.60
EVI-008491	POLICY DOCUMENT	EVD-XHO-4603	0.92
EVI-011266	DNS LOG	EVD-PEG-4915	0.68
EVI-012940	COMPLIANCE RECORD	EVD-NIV-7453	0.50
EVI-013139	AUDIT REPORT	EVD-EOV-8951	0.81

5. RECOMMENDATIONS

- Review and update vendor risk ratings following adverse compliance findings.
- Restrict post-termination system access to prevent ghost-approver scenarios.
- Implement receipt-matching automation for expense claims above the policy threshold.

6. MANAGEMENT RESPONSE

Management partially agrees with the findings; a remediation plan has been submitted for review by the Audit Committee.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Kayla Gomez	EMP-CORP-00440	2024-07-03
Reviewing Officer	Scott Davis	EMP-28408	2024-07-05